

AP PRINCIPLES FOR POLICY MAKING



OUTLINE

PRINCIPLES FOR CHANGE MAKERS

EXERCISE

HOW TO USE AP IN REAL WORLD?

Today we summarize how the AP lessons help you be a better change maker!

PRINCIPLES FOR POLICY MAKING

Consider a problem you notice and want to solve

Economics helps you come up with potential “ideal” solutions

Statistics helps you understand potential current issues and consequences of reform via data

What are the steps you should take to achieve a success?

AP I PRINCIPLES OF POLITICS FOR POLICY MAKERS

When promoting a particular policy...

1. Understand disagreement about the goal of the policy
2. Identify which communities different people care about
3. Be aware that collective decision rules shape outcomes
4. Think strategically and think ahead
5. Have patience and outside options → better bargaining
6. Identify what agenda setters and veto players want
7. Understand why people fail to take collective action
8. Secure support from concentrated interests

AP II: PRINCIPLES FOR CHANGE MAKERS

1. Legitimacy facilitates governing
2. Build your winning coalition and make it happy
3. Use the threat of hire/fire to discipline leaders
4. Make your promises and threats credible
5. Use institutions to improve governance
6. Align incentives with your goals
7. Every policy involves tradeoffs: embrace second best
8. Reforms benefit the reformer

AP II: PRINCIPLES FOR CHANGE MAKERS

1. Legitimacy facilitates governing
 - ▶ How to make your proposal be perceived as legitimate?
 - ▶ Will your actions undermine your future legitimacy?
 - ▶ Are you following transparent and fair process?
2. Build your winning coalition and make it happy
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AP II: PRINCIPLES FOR CHANGE MAKERS

1. Legitimacy facilitates governing
2. Build your winning coalition and make it happy
 - ▶ Who matters for accepting your proposal? What are their political incentives?
 - ▶ How large is their winning coalition?
 - ▶ Can you credibly mobilize voters supportive of your solution
 - ▶ Which groups are responsive to policies? What do concentrated groups want?
 - ▶ Who is the real median voter? Can you change that?
3. Use the threat of hire/fire to discipline leaders
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AP II: PRINCIPLES FOR CHANGE MAKERS

1. Legitimacy facilitates governing
2. Build your winning coalition and make it happy
3. Use the threat of hire/fire to discipline leaders
 - ▶ Making easier to fire or retain leaders increases accountability and helps with selection
 - ▶ But increases pandering and short-termism
 - ▶ Difficult to achieve multiple goals with one tool
 - ▶ Access to information about performance is key
4. Make your promises and threats credible
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1. Legitimacy facilitates governing
2. Build your winning coalition and make it happy
3. Use the threat of hire/fire to discipline leaders
4. Make your promises and threats credible
 - ▶ Think ahead
 - ▶ Do you have incentives to keep the promises?
 - ▶ Do others have incentive to keep theirs?
 - ▶ Do you face commitment problem? How can you solve it?
5. Use institutions to improve governance
6. Align incentives with your goals
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3. Use the threat of hire/fire to discipline leaders
4. Make your promises and threats credible
5. Use institutions to improve governance
 - ▶ Use institutions to prevent abuse of power and weaken commitment problems
(veto players, separation of powers, checks and balances, rules, and delegation)
 - ▶ Preferences of institutions matter
6. Align incentives with your goals
7. Every policy involves tradeoffs: embrace second best
8. Reforms benefit the reformer

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1. Legitimacy facilitates governing
2. Build your winning coalition and make it happy
3. Use the threat of hire/fire to discipline leaders
4. Make your promises and threats credible
5. Use institutions to improve governance
6. Align incentives with your goals
 - ▶ Important in every aspect of your life!
7. Every policy involves tradeoffs: embrace second best
8. Reforms benefit the reformer

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7. Every policy involves tradeoffs: embrace second best
 - ▶ You know the specifics of your situation so you can evaluate which tradeoffs are worth making
 - ▶ But no solution will be perfect
 - ▶ Don't mistake imperfections for signal to reform: be humble
 - ▶ Embrace simplicity
8. Reforms benefit the reformer

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7. Every policy involves tradeoffs: embrace second best
8. Reforms benefit the reformer
 - ▶ Those who benefit from the reform will advocate it
 - ▶ Leader benefit $\neq$ citizens' benefit
 - ▶ To affect policymaking change incentives of policymakers

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OUTLINE

PRINCIPLES FOR CHANGE MAKERS

EXERCISE

DISCUSSION: TRAFFIC CONGESTION



Traffic congestion is a big problem in your city

A 4-lane urban highway linking the city to the airport is chronically congested

This became a political problem for the mayor jeopardizing her reelection

She has a budget surplus which she could devote to this problem

You are advising her on the best ways to address the problem

FEW RANDOM FACTS THAT MAY BE USEFUL

Richer people tend to drive, poorer citizens tend to take public transportation

The main source of revenue for the airport is parking (true fact at O'Hare)

Highway expansion is visible from the current highway

Highway produces pollution and noise for those living along the highway

Construction industry is unionized, which raises construction costs

POSSIBLE SOLUTIONS

Consider the following solutions:

1. Expanding the existing highway to 6 lanes (assume it is feasible)
2. Investing in high speed public transportation connecting the airport with the city center
3. Congestion pricing—imposing fees on drivers

Take 5 minutes to discuss pros and cons of these solutions

Pick one solution. You are allowed to suggest changes to this solution.

IMPORTANT CONSIDERATIONS

1. What is the social problem you are trying to solve?
2. Which policy is most likely to solve it?
3. What is the goal of the mayor?
4. Who are the main veto players?
5. Who are the main stake holders affected by congestion and these policies?
 - ▶ Which interests are concentrated?
 - ▶ Which voters are more responsive to these policy solutions
 - ▶ What does the median voter want?
6. What are the unintended consequences of this policy?

Discuss. Have these questions make you change your suggestion?

UNDERLYING PROBLEM AND SOLUTIONS

Driving has **negative externalities**:

- ▶ An individual driver does not take into account the cost of congestion and pollution they impose on others

Anything making it easier to drive exacerbates the problem

Anything making it harder to drive helps solve the problem

Wider highway makes driving more attractive

Public transportation may decrease congestion but only to the point at which driving is marginally more pleasant than taking public transportation

Sufficiently high congestion pricing makes driving less attractive

MAYOR'S INCENTIVES

What does the mayor care about?

She may truly want to achieve some **normative goal**—you need to know what goal?

Or she may care mainly about reelection

Understanding her goals helps you see the pros and cons of various solutions more clearly

HIGHWAY EXPANSION

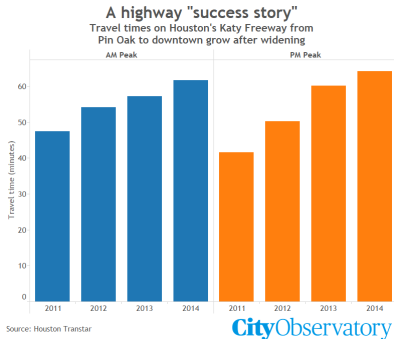
Politically attractive

- ▶ **Concentrated interests** favor this solution: unions and the airport
- ▶ Those opposing are **diffuse**: residents along the highway, poorer citizens
- ▶ Richer drivers are **more likely to vote**
- ▶ Richer drivers may be more **responsive** to this issue?
- ▶ **Pandering**: benefit immediately visible (construction, ribbon cutting)

Drawbacks

- ▶ **Strategic adjustment**: wider highway makes cost of driving lower $\implies$ brings congestion back to before
- ▶ May help with immediate election but problematic long term

EXAMPLE: HOUSTON'S KATY FREEWAY



In 2008, Texas spent \$2.8 billion to expand the Katy Freeway to 26 lanes

From 2011 to 2014, morning and afternoon commute time on the highway increased by 30% and 55% respectively

PUBLIC TRANSPORTATION

Politically uncertain

- ▶ Concentrated interests favor this solution: unions
- ▶ Concentrated interests against this solution: airport
- ▶ Median (richer) voters likely oppose the solution
- ▶ Poorer voters likely support the solution, but diffuse
- ▶ Pandering: benefit immediately visible (construction, ribbon cutting)

CONGESTION PRICING

Politically unattractive

- ▶ Concentrated interests oppose this solution: unions and the airport
- ▶ Median (richer) voter opposes this solution
- ▶ Poorer voter support not guaranteed unless benefit directed towards them
- ▶ May be perceived as less legitimate since outcome is less visible

HOW TO MAKE CONGESTION PRICING POLITICALLY VIABLE?

Suppose you support congestion pricing as the solution

What can you do to make it more politically viable?

HOW TO MAKE CONGESTION PRICING POLITICALLY VIABLE

Increase **legitimacy**

- ▶ Use a referendum

Make it **attractive to median voter and/or concentrated interest**:

- ▶ Promise to direct proceeds towards a cause that concentrated interests and median voter care about
 - ▶ But make sure this promise is credible: **solve your commitment problem**
 - ▶ Perhaps earmark the funds and creating separate agency to collect and disperse proceeds

Change who the **median voter** is :

- ▶ Increase voting propensity of voters who are harmed by the other solutions

EXAMPLE: STOCKHOLM'S CONGESTION TAX

Primary purpose is to reduce congestion and improve air quality in Stockholm

Unpopular (1/3rd to 2/3rds) and viewed as politically damaging

Governing coalition proposed a clever design:

- ▶ Trial period (01-06, 2026) that would end before election
- ▶ Fees would be removed before the referendum
- ▶ Congestion pricing would be up for referendum
- ▶ Only referendum in Stockholm would count (shaping electorate)
- ▶ Earmarked proceeds to go to public transportation

This allowed voters to learn that policy was working

- ▶ Photographs of most congested arterials appeared in media showing traffic the day before and on the first day
- ▶ Instead of pandering, government facilitated learning

EXAMPLE: STOCKHOLM'S CONGESTION TAX

Traffic decreased during trial period, but feedbacks differ:

- ▶ Residents in Stockholm approved the tax (by 53%)
- ▶ Residents in neighboring municipalities opposed it

The governing party lost: good policy $\neq$ good politics

New center-right government made the policy permanent

But they changed where the revenue will go

- ▶ Suburban car-owners were their winning coalition
- ▶ To new road constructions in and around Stockholm

From 2006 to 2012

- ▶ Traffic decreased in Stockholm
- ▶ Public opinion improved
- ▶ Congestion compared to counterfactual decreased

KEY TAKE AWAYS

Political constraints are as important as economic constraints

THANK YOU AND BEST OF LUCK!

